LOANS: COMPREHENSIVE EXAMINATION MANUAL

Section 3.2 - RMS Manual of Examination Policies

Federal Deposit Insurance Corporation

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1. INTRODUCTION

Purpose and Significance of Loan Portfolio Examination

The examination of an institution's lending policies, credit administration, and loan portfolio quality represents one of the most critical aspects of the examination process. The quality of a loan portfolio directly determines the risk to depositors and the FDIC's insurance fund.

Key Examination Focal Points:

- Lending practices and policies
- Credit administration procedures
- Quality of loan portfolio management
- Institution's financial condition and management quality

Critical Importance: Section 39 of the Federal Deposit Insurance Act, Standards for Safety and Soundness, requires each federal banking agency to establish safety and soundness standards for all insured depository institutions. Operational and managerial standards pertaining to loan portfolios address areas such as asset quality, internal controls, credit underwriting, and loan documentation.

Risk Context: Loans comprise a major portion of most institutions' assets and represent the greatest credit risk and potential loss exposure to banks. Pressure for increased profitability, liquidity considerations, and complex societal needs have produced significant innovations in credit instruments and lending approaches, making loans

increasingly complex. Examiners devote substantial time and attention to loan portfolio examination due to these factors.

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2. LOAN ADMINISTRATION

2.1 Lending Policies

Overview and Importance

Sound management and administration of the overall loan account, including establishment of sound lending and collection policies, are vital for continuous acceptable operation of financial institutions. Lending policies should be clearly defined and set forth in a manner that provides effective supervision by directors and senior officers.

Board Responsibility

The board of directors of every institution is responsible for formulating lending policies and supervising their implementation. Examiners should encourage establishment and maintenance of written, up-to-date lending policies which have been approved by the board of directors.

Dynamic Policy Framework

A lending policy should not be a static document, but must be reviewed periodically and revised in light of changing circumstances surrounding the borrowing needs of the institution's customers as well as changes within the institution itself. To a large extent, the economy of the community served by the institution dictates the composition of the loan portfolio.

The widely divergent circumstances of regional economies and considerable variance in characteristics of individual loans preclude establishment of standard or universal lending policies. However, certain broad areas of consideration are typically addressed in lending policies of all banks regardless of size or location.

Essential Policy Components

Broad Areas of Consideration:

1. **General Fields and Types of Lending**
    - General fields of lending in which the institution will engage
    - Kinds or types of loans within each general field
2. **Lending Authority**
    - Lending authority of each loan officer
    - Lending authority of loan or executive committee, if any
    - Responsibility of the board of directors in reviewing, ratifying, or approving loans
3. **Unsecured Lending Guidelines**
    - Guidelines under which unsecured loans will be granted
    - Guidelines for rates of interest and terms of repayment
4. **Secured Lending Guidelines**
    - Limitations on the amount advanced in relation to collateral value
    - Documentation required for each type of secured loan
    - Guidelines for obtaining and reviewing real estate appraisals

    - Guidelines for ordering reappraisals when needed
5. **Credit File Management**
    - Maintenance and review of complete and current credit files on each borrower
6. **Collection Procedures**
    - Appropriate collection procedures
    - Actions to be taken against borrowers who fail to make timely payments
7. **Portfolio Management**
    - Limitations on the maximum volume of loans in relation to total assets
    - Limitations on the extension of credit through overdrafts
    - Description of the institution's normal trade area
    - Circumstances under which the institution may extend credit outside such area
8. **Risk Management**
    - Guidelines that address the goals for portfolio mix and risk diversification
    - Plans for monitoring and taking appropriate corrective action on concentrations
    - Guidelines addressing the institution's loan review and grading system ("Watch list")
    - Guidelines addressing the institution's review of the Allowance for Loan and Lease Losses (ALLL)
    - Guidelines for adequate safeguards to minimize potential environmental liability

Policy Development Responsibility

The FDIC does not mandate universal or standard loan policies for specific credit types. This responsibility rests with each institution's Board and management. Examiners encourage management to develop specific guidelines for each lending department or function. It is the examiner's responsibility to determine whether the policies are realistic and being followed.

2.2 Loan Review Systems

Definition and Scope

The terms loan review system or credit risk review system refer to the responsibilities assigned to various areas such as credit underwriting, loan administration, problem loan workout, or other areas. Responsibilities may include:

- Assigning initial credit grades
- Ensuring grade changes are made when needed
- Compiling information necessary to assess the appropriateness of the ALLL or ACL for loans and leases

System Variability

The complexity and scope of a loan review system will vary based upon an institution's size, type of operations, and management practices. Systems may include components that are independent of the lending function, or may place some reliance on loan officers. Although smaller institutions are not expected to maintain separate loan review departments, it is essential that all institutions have an effective loan review system.

Objectives of Effective Loan Review Systems

Regardless of its complexity, an effective loan review system is generally designed to address the following objectives:

1. **Prompt Problem Identification**
    - To promptly identify loans with well-defined credit weaknesses so that timely action can be taken to minimize credit loss
2. **ALLL/ACL Information Provision**
    - To provide essential information for determining the appropriateness of the ALLL or ACL for loans and leases
3. **Trend Identification**
    - To identify relevant trends affecting the collectibility of the loan portfolio and isolate potential problem areas
4. **Personnel Evaluation**
    - To evaluate the activities of lending personnel
5. **Policy Adherence Assessment**
    - To assess the adequacy of, and adherence to, loan policies and procedures
    - To monitor compliance with relevant laws and regulations
6. **Portfolio Quality Assessment**
    - To provide the board of directors and senior management with an objective assessment of the overall portfolio quality
7. **Financial Reporting Support**
    - To provide management with information related to credit quality that can be used for financial and regulatory reporting purposes

2.3 Credit Risk Rating or Grading Systems

Importance and Functions

Accurate and timely credit grading is a primary component of an effective loan review system. Credit grading involves:

- Assessment of credit quality
- Identification of problem loans
- Assignment of risk ratings
- Provision of information for ALLL/ACL establishment

An effective system provides information for use in establishing an allowance when evaluating specific credits and for the determination of an overall ALLL or ACL for loans and leases.

Credit Grading Approach

Credit grading systems often place primary reliance on loan officers for identifying emerging credit problems. However, given the importance and subjective nature of credit grading, a loan officer's judgement regarding the assignment of a particular credit grade should generally be subject to review.

Review Methods:

- Peers or superiors
- Loan committee(s)
- Internal or external credit review specialists

Preferred Approach: Credit grading reviews performed by individuals independent of the lending function are preferred because they can often provide a more objective assessment of credit quality.

Typical System Components

A loan review system typically includes the following:

1. **Formal Credit Grading System**
    - Can be reconciled with the framework used by federal regulatory agencies
2. **Identification System**
    - Identification of loans or loan pools that warrant special attention
3. **Reporting Mechanism**
    - A mechanism for reporting identified loans and any corrective action taken to senior management and the board of directors
4. **Documentation**
    - Documentation of an institution's credit loss experience for various components of the loan and lease portfolio

2.4 Loan Review System Elements

Annual Review and Approval

Loan review policies are typically reviewed and approved at least annually by the board of directors. Policy guidelines include a written description of the overall credit grading process and establish responsibilities for the various loan review functions.

Key Policy Elements

The policy generally addresses the following items:

- Qualifications of loan review personnel
- Independence of loan review personnel
- Frequency of reviews
- Scope of reviews
- Depth of reviews
- Review of findings and follow-up
- Workpaper and report distribution

Qualifications of Loan Review Personnel

Personnel involved in the loan review function are qualified based on:

- Level of education
- Experience
- Extent of formal training

They are knowledgeable of both sound lending practices and their own institution's specific lending guidelines, as well as pertinent laws and regulations that affect lending activities.

Independence of Loan Review Personnel

Key Principle: Institutions should be careful to avoid over reliance upon loan officers. To avoid conflicts of interest, management typically ensures that, when feasible, all significant loans are reviewed by individuals that are not part of, or influenced by anyone associated with, the loan approval process.

Different Approaches by Institution Size:

1. **Larger Institutions**
    - Establish separate loan review departments staffed by independent credit analysts
2. **Smaller Institutions**
    - Cost and volume considerations may not justify separate departments
    - Members of senior management independent of the credit administration process
    - Committee of outside directors
    - Outside loan review consultant

Reporting Structure: Regardless of the method used, loan review personnel should report their findings directly to the board of directors or a board committee.

Frequency of Reviews

The loan review function provides feedback on the effectiveness of the lending process in identifying emerging problems. Reviews of significant credits are generally performed:

- Annually
- Upon renewal
- More frequently when factors indicate a potential for deteriorating credit quality

Important Note: A system of periodic reviews is particularly important to the process of determining the ALLL or the ACL for loans and leases.

Scope of Reviews

Reviews typically cover all loans that are considered significant. In addition to loans over a predetermined size, management will normally review smaller loans that present elevated risk characteristics such as:

- Credits that are delinquent
- On nonaccrual status
- Restructured as a troubled debt
- Previously classified
- Designated as Special Mention

Additionally, management may periodically review insider loans, recently renewed credits, or loans affected by common repayment factors. The percentage of the portfolio selected for review should provide reasonable assurance that all major credit risks have been identified.

Depth of Reviews

Loan reviews typically analyze important credit factors including:

1. **Credit Quality**
    - Overall assessment of credit quality and risk
2. **Documentation**
    - Sufficiency of credit and collateral documentation
3. **Lien Perfection**
    - Proper lien perfection verification
4. **Loan Approval**
    - Proper loan approval confirmation
5. **Covenant Adherence**
    - Adherence to loan covenants
6. **Compliance**
    - Compliance with internal policies and procedures
    - Compliance with applicable laws and regulations
7. **Grade Accuracy**
    - The accuracy and timeliness of credit grades assigned by loan officers

Review of Findings and Follow-up

Loan review findings should be reviewed with appropriate:

- Loan officers
- Department managers
- Members of senior management

Typically, any existing or planned corrective action (including estimated timeframes) is obtained for all noted deficiencies. Deficiencies that remain unresolved are reported to senior management and the board of directors.

Workpaper and Report Distribution

Common Practices:

1. **Documentation**
    - A list of the loans reviewed, including the review date
    - Documentation supporting assigned ratings
2. **Reporting**
    - A report that summarizes the results of the review
    - Submitted to the board at least quarterly
3. **Content Focus**
    - Adherence to internal policies and procedures
    - Applicable laws and regulations
    - Remediation of identified deficiencies in a timely manner

Examiner Responsibility: Examiners should review the written response from management in response to any substantive criticisms or recommendations and assess corrective actions taken.

2.5 Current Expected Credit Losses (CECL)

Applicability and Scope

The Current Expected Credit Losses (CECL) methodology as implemented by FASB Accounting Standards Codification (ASC) Subtopic 326-20, Financial Instruments – Credit Losses applies to:

- Financial assets measured at amortized cost
- Net investments in leases
- Off-balance-sheet credit exposures (collectively, financial assets)

Implementation Timeline

For institutions that are SEC filers, excluding those that are "smaller reporting companies" as defined in the SEC's rules, the CECL methodology is effective for fiscal years beginning January 1, 2020, for institutions with calendar year fiscal years.

For all other institutions (i.e., non-public institutions), including those SEC filers that are smaller reporting companies, CECL takes effect for institutions with calendar year fiscal years beginning after December 15, 2022, (i.e., January 1, 2023).

Exceptions to CECL

The CECL methodology does not apply to:

- Financial assets measured at fair value through net income
- Loans held-for-sale
- Policy loan receivables of an insurance entity
- Loans and receivables between entities under common control
- Receivables arising from operating leases

Note: Available-for-sale debt securities are covered by ASC Subtopic 326-30 for institutions that have adopted ASC Topic 326.

Allowance for Credit Losses (ACL) Definition

The allowance for credit losses or ACL for loans and leases is a valuation account that is:

- Deducted from, or added to, the amortized cost basis of financial assets
- Presents the net amount expected to be collected over the contractual term of the assets, considering expected prepayments

Contract Term Consideration: Renewals, extensions, and modifications are excluded from the contractual term of a financial asset unless there is a reasonable expectation of executing a troubled debt restructuring or the renewal and extension options are part of the original or modified contract and are not unconditionally cancellable by the institution.

Estimation Approach

In estimating the net amount expected to be collected, management should consider the effects of:

- Past events
- Current conditions
- Reasonable and supportable forecasts on the collectibility of the institution's financial assets

Critical Input Changes: Under the CECL methodology, inputs will need to change in order to achieve an appropriate estimate of expected credit losses. For example, inputs to a loss rate method would need to reflect expected losses over the contractual term, rather than the annual loss rates commonly used under the existing incurred loss methodology.

Evaluation and Reporting

Similar to the ALLL, the ACL for loans and leases is:

- Evaluated as of the end of each reporting period
- Reported in the Consolidated Reports of Condition and Income (Call Report)
- Applied consistently over time reflecting management's current expectations of credit losses
- Changes recorded through increases or decreases to the related provisions for credit losses (PCLs)

Guidance References

Throughout this manual, references pertaining to the ALLL describe the incurred methodology and apply only to institutions that have not yet adopted ASC Topic 326. The methodology for impairment contained in ASC Subtopic 310-10 and collective loan impairment contained in ASC Subtopic 450-20 has been superseded and is not applicable for institutions that have adopted ASC Topic 326 (CECL).

For institutions that have adopted CECL, examiners should refer to the Call Report Glossary entry for "allowance for credit losses" and the "Interagency Policy Statement on Credit Losses," issued May 8, 2020, via FIL 54-2020, for additional information on the CECL methodology.

2.6 Allowance for Loan and Lease Losses (ALLL)

Requirement and Scope

Each institution must maintain an ALLL that is appropriate to absorb estimated credit losses associated with the held for investment loan and lease portfolio, i.e., loans and leases that the institution has the intent and ability to hold for the foreseeable future or until maturity or payoff.

Each institution should also maintain, as a separate liability account, an allowance sufficient to absorb estimated credit losses associated with off-balance sheet credit instruments such as:

- Loan commitments
- Standby letters of credit
- Guarantees

Separate Account Requirement: This separate liability account for estimated credit losses on off-balance sheet credit exposures should not be reported as part of the ALLL on an institution's balance sheet.

Held-for-Sale Treatment: Loans and leases held for sale are carried on the balance sheet at the lower of cost or fair value, with a separate valuation allowance. This separate valuation allowance should not be included as part of the ALLL and accordingly regulatory capital.

Definition of Estimated Credit Losses

The term "estimated credit losses" means an estimate of the current amount of the loan and lease portfolio (net of unearned income) that is not likely to be collected; that is, net charge-offs that are likely to be realized for a loan, or pool of loans.

Criteria: The estimated credit losses should meet the criteria for accrual of a loss contingency (i.e., a provision to the ALLL) set forth in generally accepted accounting principles (U.S. GAAP).

Charge-off Requirement: When available information confirms specific loans and leases, or portions thereof, to be uncollectible, these amounts should be promptly charged-off against the ALLL.

Comprehensive Considerations

Estimated credit losses should reflect consideration of all significant factors that affect repayment as of the evaluation date. Estimated losses on loan pools should reflect historical net charge-off levels for similar loans, adjusted for changes in current conditions or other relevant factors.

Calculation Methods: Calculation of historical charge-off rates can range from:

- A simple average of net charge-offs over a relevant period, to
- More complex techniques, such as migration analysis

Portfolio Flexibility

Portions of the ALLL can be attributed to, or based upon the risks associated with, individual loans or groups of loans. However, the ALLL is available to absorb credit losses that arise from the entire portfolio. It is not segregated for any particular loan, or group of loans.

2.7 Responsibility of the Board and Management

Board and Management Duties

It is the responsibility of the board of directors and management to maintain the ALLL at an appropriate level. The allowance should be evaluated, and appropriate provisions made, at least quarterly.

In carrying out their responsibilities, the board and management are expected to:

1. **Establish Effective Systems**
    - Establish and maintain a loan review system that identifies, monitors, and addresses asset quality problems in a timely manner

2. **Ensure Charge-offs**
    - Ensure the prompt charge-off of loans, or portions of loans, deemed uncollectible
3. **Ensure Comprehensive Process**
    - Ensure that the process for determining an appropriate allowance level is based on comprehensive, adequately documented, and consistently applied analysis

Call Report Components

For purposes of Reports of Condition and Income (Call Reports), an appropriate ALLL for loans held for investment should consist of:

1. **Individually Impaired Loans**
    - The amount of allowance related to loans individually evaluated and determined to be impaired under ASC Subtopic 310-10, Receivables - Overall
2. **Individually Evaluated Non-Impaired Loans**
    - The amount of allowance related to loans that were individually evaluated for impairment and determined not to be impaired, as well as other loans collectively evaluated under ASC Subtopic 450-20, Contingencies – Loss Contingencies
3. **Acquired Credits**
    - The amount of allowance related to loans evaluated under ASC Subtopic 310-30, Receivables – Loans and Debt Securities Acquired with Deteriorated Credit Quality
4. **International Transfer Risk**
    - The amount of allowance related to international transfer risk associated with its cross-border lending exposure

Analysis Judgment

Furthermore, management's analysis of an appropriate allowance level requires significant judgement in determining estimates of credit losses. An institution may support its estimate through qualitative factors that adjust historical loss rates or an unallocated portion that can be supported through a similar analysis.

Primary Reliance on Portfolio Analysis

When determining an appropriate allowance, primary reliance should normally be placed on analysis of the various components of a portfolio, including all significant credits reviewed on an individual basis. Examiners should refer to ASC Subtopic 310-10 for guidance in establishing an allowance for individually evaluated loans determined to be impaired and measured under that standard.

When analyzing the appropriateness of an allowance, portfolios evaluated collectively should group loans with similar characteristics, such as:

- Risk classification
- Past due status
- Type of loan
- Industry
- Collateral

Portfolio Grouping Examples

A depository institution may analyze the following groups of loans and provide for them in the ALLL:

1. **Significant Credits Reviewed Individually**
    - I.e., impaired loans
2. **Loans with Elevated Risk Characteristics**
    - Not reviewed individually
    - Present elevated risk characteristics
    - Such as delinquency, adverse classification, or Special Mention designation
3. **Homogenous Loans Without Elevated Risk**
    - Not reviewed individually
    - Do not present elevated risk characteristics
4. **All Other Loans**
    - That have not been considered or provided for elsewhere

Transfer Risk Consideration

In addition to estimated credit losses, the losses that arise from the transfer risk associated with an institution's cross-border lending activities require special consideration. Over and above any minimum amount required by the Interagency Country Exposure Review Committee to be provided in the Allocated Transfer Reserve (or charged to the ALLL), an institution must determine if their ALLL is appropriate to absorb estimated losses from transfer risk associated with its cross-border lending exposure.

2.8 Factors to Consider in Estimating Credit Losses

Starting Point: Historical Experience

Estimated credit losses should reflect consideration of all significant factors that affect the portfolio's collectibility as of the evaluation date. While historical loss experience provides a reasonable starting point, historical losses, or even recent trends in losses, are not by themselves a sufficient basis to determine an appropriate ALLL level.

Management should also consider any relevant qualitative factors that are likely to cause estimated losses to differ from historical loss experience.

Qualitative Factors

1. Changes in Lending Policies and Procedures

- Including underwriting, collection, charge-off and recovery practices

2. Changes in Economic and Business Conditions

- Changes in local and national economic and business conditions

3. Changes in Credit Volume or Type

- Changes in the volume or type of credit extended

4. Changes in Management Experience

- Changes in the experience, ability, and depth of lending management

5. Changes in Portfolio Performance

- Changes in the volume and severity of past due, nonaccrual, troubled debt restructurings, or classified loans

6. Changes in Loan Review Quality

- Changes in the quality of an institution's loan review system
- Changes in the degree of oversight by the board of directors

7. Credit Concentrations

- The existence of, or changes in the level of, any concentrations of credit

Supplemental Check: Ratio Analysis

Institutions are also encouraged to use ratio analysis as a supplemental check for evaluating the overall reasonableness of an ALLL. Ratio analysis can be useful in identifying trends in the relationship of the ALLL to:

- Classified and nonclassified credits
- Past due and nonaccrual loans
- Total loans and leases and binding commitments
- Historical charge-off levels

Important Limitation: While such comparisons can be helpful as a supplemental check of the reasonableness of management's assumptions and analysis, they are not, by themselves, a sufficient basis for determining an appropriate ALLL. Such comparisons do not eliminate the need for a comprehensive analysis and documentation of the loan and lease portfolio and the factors affecting its collectibility.

2.9 Examiner Responsibilities

Assessment Role

Generally, following the quality assessment of the loan and lease portfolio, the loan review system, and the lending policies, examiners are responsible for assessing the appropriateness of the ALLL. Examiners should consider all significant factors that affect the collectibility of the portfolio.

Reference Materials: Examination procedures for reviewing the appropriateness of the ALLL are included in the Examination Documentation (ED) Modules.

Recognition of Complexity

In assessing the overall appropriateness of an ALLL, it is important to recognize that the related process, methodology, and underlying assumptions require a substantial degree of judgement. Credit loss estimates will not be precise due to the wide range of factors that must be considered. Furthermore, the ability to estimate credit losses on specific loans and categories of loans should improve over time.

Acceptance Criteria

Therefore, examiners will generally accept management's estimates of credit losses in their assessment of the overall appropriateness of the ALLL when management has:

1. **Effective Systems and Controls**
    - Maintained effective systems and controls for identifying, monitoring and addressing asset quality problems in a timely manner
2. **Comprehensive Analysis**
    - Analyzed all significant factors that affect the collectibility of the portfolio
3. **Acceptable Process**
    - Established an acceptable ALLL evaluation process that meets the objectives for an appropriate ALLL

Handling Discrepancies

If, after the completion of all aspects of the ALLL review, the examiner does not concur that the reported ALLL level is appropriate, or the ALLL evaluation process is deficient, recommendations for correcting these problems, including any examiner concerns regarding an appropriate level for the ALLL, should be noted in the Report of Examination.

2.10 Regulatory Reporting of ALLL

Range of Acceptability

An ALLL established in accordance with the guidelines provided above should fall within a range of acceptable estimates. When an ALLL is not deemed at an appropriate level, management will be required to increase the provision for loan and lease loss expense sufficiently to restore the ALLL reported in its Call Report to an appropriate level.

Accounting and Reporting Treatment Standards

ASC Subtopic 450-20 provides the basic guidance for recognition of a loss from a contingency that should be accrued through a charge to income (i.e., a provision expense) when available information indicates that it is probable the asset has been impaired and the amount is reasonably estimated.

ASC Subtopic 310-10 provides specific guidance about the measurement and disclosure for loans individually evaluated and determined to be impaired. Loans are considered to be impaired when, based on current information and events, it is probable the creditor will be unable to collect all interest and principal payments due according to the contractual terms of the loan agreement. This would generally include all loans restructured as a troubled debt and nonaccrual loans.

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3. PORTFOLIO COMPOSITION

3.1 Commercial Loans

General Overview

Loans to business enterprises for commercial or industrial purposes, whether proprietorships, partnerships or corporations, are commonly described as commercial loans. In asset distribution, commercial or business loans frequently comprise one of the most important assets of an institution.

Loan Characteristics:

- May be secured or unsecured
- May have short or long-term maturities
- Include working capital advances, term loans and loans to individuals for business purposes

Working Capital and Seasonal Loans

Purpose: Provide temporary capital in excess of normal needs for seasonal requirements.

Repayment: At cycle end through inventory and accounts receivable conversion to cash.

Collateral: Often unsecured; many advanced with accounts receivable and/or inventory collateral.

Users: Manufacturing, distribution, retailing, and service-oriented businesses.

Term Business Loans

Purpose: Acquiring capital assets, such as plant and equipment.

Risk Level: Greater than short-term advances due to outstanding period length.

Security: Usually secured with regular amortization requirements.

Covenants: May contain restrictive covenants over loan life.

Special Use: May liquidate accumulated unpaid seasonal credit balances over time.

Commercial Lending Policy Areas

Commercial lending policies typically address:

- Credit information acquisition (property, operating, cash flow statements)
- Collateral acquisition factors
- Acceptable collateral margins
- Collateral lien perfection
- Lending terms
- Charge-off procedures

3.2 Accounts Receivable Financing

Definition and Purpose

Accounts receivable financing is a specialized area of commercial lending in which borrowers assign their interests in accounts receivable to the lender as collateral.

Typical Borrower Characteristics

Accounts receivable borrowers typically include:

- Businesses growing rapidly needing year-round large financing
- Nonseasonal businesses with insufficient working capital
- Previous unsecured borrowing no longer warranted
- Inadequate working capital for operation volume

Borrower Advantages

From the borrower's perspective, accounts receivable financing offers:

- Efficient expansion financing with growing borrowing capacity
- Ability to take purchase discounts through immediate cash receipt
- Revolving, expanding line of credit availability
- Interest potentially comparable to fixed amount unsecured loans

Lender Advantages

From the lender's perspective, accounts receivable financing provides:

- Relatively high-yield loans and new business
- Depository relationship opportunity
- Continuing relationships with customers no longer warranting unsecured credit
- Potential loss minimization through percentage-based collateral gearing

Important Consideration

Despite collateral quality, borrower financial statement analysis is essential. Even if the collateral is of good quality and in excess of the loan, the borrower must demonstrate financial progress. Full repayment through collateral liquidation is normally a solution of last resort.

Accounts Receivable Advance Methods

Method 1: Blanket Assignment

- Borrower periodically reports outstanding receivables
- Lender advances agreed percentage of outstanding receivables
- Usually non-notification basis with borrower collecting payments
- Institution applies received funds to loan

Method 2: Ledgering Accounts

- Lender receives duplicate invoices and shipping/delivery documentation
- Institution advances agreed percentage
- Usually notification basis with complete lender control
- Customer remits directly to institution

Lending Policy Considerations

An institution's lending policy for accounts receivable financing typically addresses:

- Credit information acquisition
- Accounts receivable loan agreement maintenance
- Percentage advance against acceptable receivables
- Maximum dollar amount from single account debtor
- Financial strength of debtor accounts
- "Acceptable receivables" definition related to turnover
- Accounts receivable aging
- Debtor account concentrations

3.3 Leveraged Lending

Overview and Importance

Leveraged lending is an important type of financing for national and global economies, and the U.S. financial industry plays an integral role in making credit available and syndicating that credit to investors. Complex, specialized lending requires sound risk management practices for institutions engaging in leveraged financing.

Applicability and Risk Management Consistency

A financial institution's risk management practices should be consistent with the size and risk profile of its leveraged activities relative to its assets, earnings, liquidity, and capital. Institutions that originate or sponsor leveraged transactions can refer to the guidance for suggestions about sound risk management principles.

Key Principle: Agencies do not intend for a financial institution that originates a small number of less complex, leveraged loans to have policies and procedures commensurate with a larger, more complex leveraged loan origination business. However, any financial institution that participates in leveraged lending transactions may refer to and consider supervisory guidance.

Common Leveraged Lending Definitions

Combination Elements:

- Proceeds for buyouts, acquisitions, capital distributions
- Total Debt/EBITDA or Senior Debt/EBITDA exceeding thresholds (commonly 4.0X or 3.0X respectively)
- Highly leveraged firm recognition with high debt-to-net-worth
- Post-financing leverage significantly exceeding industry norms

General Risk Management Framework

Sound risk management of leveraged lending activities places importance on institutions developing and maintaining:

1. **Sound Transaction Structure**
    - Sound business premise
    - Appropriate capital structure
    - Reasonable cash flow and balance sheet leverage
    - Supportable performance projections

    - Clear borrower repayment capacity
    - De-leverage to sustainable level support
2. **Definition Consistency**
    - Facilitates consistent cross-business application
3. **Underwriting Standards**
    - Well-defined, clear, measurable standards
    - Acceptable leverage level definitions
    - Amortization expectations for senior/subordinate debt
4. **Credit Limit Framework**
    - Consistent with risk appetite
    - Concentration framework
5. **Management Information Systems**
    - Enable exposure identification and aggregation
    - Leverage exposure monitoring
    - Cross-business line policy compliance
6. **Pipeline Management Policies**
    - Real-time exposure and limit information
    - Distribution timing exceptions
    - Approved hold level exceptions
7. **Portfolio and Pipeline Stress Testing**
    - Periodic stress test guidelines
    - Economic and market condition impact quantification
    - Asset quality, earnings, liquidity, capital effects

Risk Management Framework Details

Intensive Review and Monitoring: High-risk transactions require intensive, frequent review with foundation of:

- Written risk objectives
- Risk acceptance criteria
- Risk controls

Unsafe Practices Warning: Lack of robust risk management at significant leveraged lending institutions could indicate unsafe-and-unsound banking practices.

General Policies

Risk Appetite Identification:

- Clearly defined leveraged lending amounts for underwriting
- Hold amount definitions
- Board-approved supportive analysis of earnings, capital, liquidity, other risk effects

Limit Framework:

- Single obligor/transaction limits
- Aggregate hold portfolio limits
- Pipeline exposure limits
- Industry and geographic concentration limits
- Management approval authorities identification
- Exception tracking provisions
- Notional pipeline and underwriting limit frameworks

Procedure Documentation:

- Leveraged lending risk appropriate reflection in ALLL and capital analysis
- Credit and underwriting approval authorities
- Transaction structure and term change approval/documentation
- Senior management oversight adequacy and timeliness
- Board of directors reporting

Risk Expectations:

- Expected risk-adjusted returns specification
- Minimum underwriting standards
- Effective underwriting practices for primary and secondary acquisition

Participations Purchased

Well-managed institutions purchasing leveraged transaction participations conduct thorough, independent evaluation before commitment.

Policy Approach: Apply same prudence, credit assessment, approval criteria, and in-house limits as primary origination.

Policy Requirements:

- Complete credit information obtaining and independent analysis (pre- and post-purchase)
- Full executed and proposed loan documents from lead lender
- Legal opinions, title insurance, UCC searches, relevant documents
- Comprehensive borrower performance monitoring
- Appropriate risk management guideline establishment

Underwriting Standards

Characteristics: Clear, written, measurable standards accurately reflecting risk appetite.

Standard Considerations:

1. **Business Premise Soundness**
    - Sound business premise verification
    - Sustainable capital structure verification
    - Portfolio or distribution intent regardless
2. **Repayment Capacity**
    - Debt repayment capacity
    - Sustainable level de-leverage ability
    - Reasonable period specification
3. **Due Diligence**
    - Expected depth and breadth specification
4. **Risk-Adjusted Returns**
    - Expected return evaluation standards
5. **Enterprise Value Reliance**
    - Enterprise value and intangible asset reliance degree
    - Acceptable valuation methodologies
    - Periodic value review frequency guidelines
6. **Sponsor Support**

    - Sponsor support expectations
    - Financial capacity consideration
    - Capital contribution extent
    - Motivating factors
7. **Collateral Dilution**
    - Material collateral dilution, sale, exchange permissions
    - Lender approval requirements
8. **Covenant Protections**
    - Credit agreement covenant sufficiency
    - Financial performance specifications
    - Reporting requirements
    - Compliance monitoring
9. **Collateral Requirements**
    - Acceptable collateral specification
    - Risk-appropriate measures and controls
    - Acceptable collateral types
    - Loan-to-value guidelines
    - Collateral valuation methodologies
    - Asset-based loan standards
    - Collateral controls (inspections, valuations, lockbox)
    - Account maintenance agreements
    - Periodic reporting
10. **Information Distribution**
    - Ongoing financial and relevant credit information distribution
    - All participant and investor provision

Credit Analysis

Dependence: Effective underwriting and management depends heavily on approval and ongoing monitoring analysis quality.

Transaction Analysis Assurance:

1. **Cash Flow Analysis**
    - No overly optimistic or unsubstantiated sales, margins, synergy projections
2. **Liquidity Analysis**
    - Industry-appropriate performance metrics
    - Cash flow predictability
    - Operating cash need measurement
    - Debt maturity meeting ability
3. **Projection Quality**
    - Adequate unanticipated merger-related integration cost margin
4. **Stress Testing**
    - One or two downside scenario stress testing
    - Covenant breach inclusion
5. **Quarterly Review**
    - At least quarterly transaction review
    - Plan variance determination
    - Risk implication assessment
    - Rating accuracy and accrual status assessment
6. **Valuations**
    - Independent enterprise and collateral valuation

    - Timeliness
    - Value erosion potential consideration
    - Current market condition and trend basis
7. **Collateral Liquidation Estimates**
    - Current market conditions and trend basis
8. **Collateral Shortfall Identification**
    - Potential shortfall identification and factoring into rating and accrual decisions
9. **Contingency Plans**
    - Debt and equity market changing condition anticipation
    - Refinancing and new equity issuance dependency
10. **Risk Protection**
    - Adequate borrower protection from interest rate and foreign exchange risk

Valuation Standards

Enterprise Value Reliance: Used for loan feasibility evaluation, debt reduction planning, capital market access assessment, and secondary repayment source estimation.

Valuation Methodology Importance: Requires specialized knowledge for credible enterprise valuation development.

Valuation Performer Requirement: Independent qualified persons outside origination function.

Common Valuation Methods

Asset Valuation Methods: Consider enterprise underlying assets in terms of net going-concern or liquidation value.

Income Valuation Methods: Consider ongoing cash flows or earnings with appropriate capitalization or discounting techniques.

Market Valuation Methods: Derive value multiples from comparable company data or sales transactions.

Final Estimate: Based on methods giving supportable and credible results; income method often most reliable.

Income Method Approaches

Capitalized Cash Flow Method:

- Value = present value of perpetual future cash flows
- Appropriate cash flow divided by risk-adjusted capitalization rate
- Most appropriate for predictable, stable cash flows
- Weighted average cost of capital use common

Discounted Cash Flow Method:

- Multiple-period valuation model
- Future cash flows converted to current value
- Discounted at risk-reflecting rate
- Most appropriate for cyclical or variable cash flows
- Numerous assumptions requiring supporting documentation

Stress Testing and Adverse Conditions: Prudent lenders reflect adverse conditions in key variable assumptions during financial downturn or adverse market conditions. Range of stress scenarios including business conditions more adverse than base case.

Validation Approach: Prudent institutions perform own discounted cash flow analysis validating enterprise value-implied proxy measures.

Enterprise Value Imprecision: Even rigorous procedures produce imprecise, potentially unrealized estimates.

Loan-to-Value Ratios and Collateral Margins: Appropriate policies required for enterprise value or illiquid hard-to-value collateral reliance.

Portfolio Enterprise Value Limits: Prudent institution limits for individual transaction and total portfolio proportion reliance.

Documentation Requirements: Clearly documented, well-supported, appropriate decision-maker and risk unit understood assumptions.

Methodology Appropriateness: Industry and condition appropriate valuation methods.

Risk Rating Leveraged Loans

Approach: Realistic repayment assumption use determining borrower de-leverage ability to sustainable level within reasonable period.

Common Supervisory Assumptions:

- Ability to fully amortize senior secured debt evidence
- 50 percent total debt repayment ability over 5-7 years

Refinancing Dependency: Nominal cash flow pay-down capacity with refinancing as only option results in usually adverse ratings despite recent underwriting.

No De-Leverage Prospects: Substandard rating likely for transactions with no reasonable realistic de-leverage prospects.

Extension/Restructure Scrutiny: Extensions and restructures scrutinized to ensure problems aren't merely masked.

Inadequate Primary Source: Enterprise value as secondary source inappropriate without well-supported value.

Doubtful/Loss Rating: Portion unprotected by pledged assets or well-supported enterprise value generally rated Doubtful or Loss with nonaccrual status.

ALLL and Capital Consideration: Leveraged lending risks in ALLL and capital adequacy analysis.

Problem Credit Management

Action Plans: Formulated for borrowers experiencing diminished operating cash flows, depreciated collateral, or significant plan variances.

Initial Underwriting Importance: Weak underwriting, poor structure, and limited covenants make problem discussion and restructuring more difficult with less favorable outcomes.

Credit Policy Definition: Expectations for adversely rated and high-risk borrower management with significant performance departures.

Workout Plan Requirements: Quantifiable objectives and measurable timeframes.

Action Options:

- Borrower orderly resolution with interest preservation
- Secondary market credit sale
- Collateral liquidation

Regular Review Requirements: Risk rating accuracy, accrual status, impairment recognition through specific allocation, and charge-offs.

Reporting and Analytics

Regular Monitoring: Diligent institutions regularly monitor high-risk credits including leveraged loans.

Reporting Frequency: Comprehensive characteristics and trend reviews at least quarterly.

Management and Board Summaries: Summaries to board of directors.

Policy and Procedure Identification: Fields to populate and capture by MIS yielding accurate, timely management and board reporting.

Reporting Components:

- Individual and portfolio exposures within/across business lines including pipeline
- Risk rating distribution and migration analysis
- Borrower removal list for improved characteristics
- Industry mix and maturity profile
- Probability of default and loss given default derived metrics
- Portfolio performance measures (covenant noncompliance, restructurings, delinquencies, non-performing amounts, charge-offs)
- Impaired asset amount and nature
- ALLL attributable to leveraged lending amount
- Policy exception aggregate level and performance
- Collateral type exposures
- Secondary market pricing and trading volume (when available)
- Deal sponsor exposures and performance
- Related borrower exposure identification and aggregation
- Gross and net exposures, hedge counterparty concentrations, policy exceptions
- Syndicated pipeline distribution (actual vs. projected)
- Excess syndication inventory over hold targets

- Total and segmented leveraged lending exposures with established limits
- Global exposure detailed and comprehensive view
- Obligor indirect exposure situations
- Previously sold position holding
- Derivative reference asset covering

Counterparty Reporting: Exposures booked in other business units throughout institution, including default swaps and total return swaps.

Position Consideration: Held for sale or traded portfolios or structured investment vehicles.

Deal Sponsors

Sponsor Support Assessment: Financial institutions relying on sponsor support develop sponsor qualification evaluation guidelines and regular financial condition monitoring processes.

Sponsor Support Value: Strategic planning, management, tangible and intangible benefits.

Financial Support Sources: Borrowers failing to achieve projections.

Rating Basis: Generally based on standalone borrower financial analysis.

Support Consideration: May consider sponsor support when documenting history of demonstrated support, economic incentive, capacity, and stated intent.

Support Limitations: Even documented capacity and history may not mitigate supervisory concerns absent documented continued support commitment.

Sponsor Financial Support Evaluation Includes:

- Historical performance in supporting investments financially and otherwise
- Economic support incentive including capital contribution nature and amount
- Support degree documentation (guarantee, comfort letter, verbal assurance)
- Contractual investment limitation consideration
- Periodic financial statement review and trend analysis
- Liquidity analysis including multiple deal funding ability
- Dividend and capital contribution practice consideration
- Specific borrower support likelihood vs. sponsor portfolio other deals
- Sponsor qualification evaluation guidelines
- Regular sponsor performance monitoring processes

Independent Credit Review

Function Strength Demonstration: Strong, independent credit review function identifies portfolio risks and documents escalation authority to senior management.

Elevated Risk Importance: Elevated leveraged lending inherent risks increase independent and frequent deeper assessment importance.

Assessment Frequency and Depth: Greater relative size proportional to institution size and leveraged lending business.

Effective Assessment Characteristics: Individuals with expertise and industry experience perform.

Portfolio Review Frequency: Generally at least annual with more frequent reviews for high-risk characteristics.

Staff Adequacy: Appropriately staffed function with sufficient resources.

Assessment Capabilities: Risk level, rating integrity, valuation methodologies, risk management quality evaluation.

Program Completeness: Leveraged lending practices, policies, procedures assessment providing complete program evaluation.

Stress Testing

Guideline Development and Implementation: Financial institutions develop and implement periodic stress test guidelines for hold and distribute-originated loans.

Test Scope: Economic and market condition changing impact quantification on asset quality, earnings, liquidity, and capital.

Sophistication Consistency: Consistent with portfolio size, complexity, and risk characteristics.

Enterprise-Wide Test Inclusion: Leveraged portfolio inclusion in required enterprise-wide stress tests.

Conflicts of Interest

Policy Development: Appropriate conflicts prevention and address policies required for equity and lending position combinations.

Conflict Examples:

- Aggressive collection strategy reluctance due to equity value impact
- Privileged client information provision pressure benefiting affiliated investor
- Seller financial advisor service with simultaneous multiple buyer financing
- Different business line and affiliate conflicting interests

Policy and Procedure Characteristics:

- Clear potential conflict definition
- Appropriate risk management control identification
- Employee conflict reporting to management without retribution
- Applicable law compliance ensuring
- Employee training program establishment on conflict avoidance practices

3.4 Oil and Gas Lending

Industry Overview

Complexity Factors:

- Global supply and demand dynamics
- Geopolitical uncertainty
- Weather-related disruptions
- Currency market fluctuations
- Environmental and governmental policy changes

Borrower Impact: Companies directly or indirectly tied to O&G industry frequently experience expansion and contraction affecting financial condition and repayment capacity.

Industry Segments

1. **Upstream** - Exploration and production (E&P) companies
2. **Midstream** - Transporting, treating, processing, storing, marketing
3. **Downstream** - Refining and marketing
4. **Support/Services** - Equipment, services, drilling, workover units, water hauling

Primary Focus: Upstream E&P lending (specialized form).

Midstream/Downstream: Similar commercial loan structure; MLPs often raise capital through publicly traded partnerships.

Highest Credit Risk: Support/Services and Upstream, more directly affected by production and commodity price changes.

Reserve-Based Lending (RBL)

Definition: E&P activity loans typically secured by proved reserves, governed by borrowing base.

Risk Management Requirements: Conservative underwriting, appropriate structuring, experienced knowledgeable staff, sound administration.

Unique Risks: Credit, concentration, market volatility/pricing, limited-purpose collateral, production, operational, legal, compliance/environmental, interest rate, liquidity, strategic, and third-party.

Difference from ABL: Primary source differs. ABL reliance on orderly collateral liquidation to cash; RBL reliance on O&G reserve extraction cash flows.

Collateral Control Difference: ABL strong controls (lock box); RBL relies on reserve engineering reports.

Borrowing Base: Collateral base agreed by borrower and lender limiting lender advancement, subject to periodic (typically semi-annual) redeterminations with potential reduction for declining commodity prices and reserves.

Reserves Types

Primary Consideration: Generally only proved reserves (90 percent probability of recovery) in collateral value determination.

Proved Reserves (P1):

- **PDP (Proved Developed Producing):** Recoverable from existing wells with existing equipment/methods producing at report estimate time
- **PDNP (Proved Developed Non-Producing):** Low CAPEX conversion initiation/restoration
    - **PDSI (Shut-In):** Open completion intervals not producing or shut-in for market/pipeline/mechanical reasons
    - **PDBP (Behind the Pipe):** Existing wells with additional completion work requirements
- **PUD (Proved Undeveloped):** Requiring future investment; proved but no well infrastructure

P2 and P3 Reserves: Probable (P2) and possible (P3) reserves should not receive borrowing base value.

Reserve Engineering Reports

Definition: Volume estimates of likely O&G recovery based on reasonable reservoir, technology, and operating efficiency assumptions.

Significance: Significant underwriting reliance requires sound internal evaluation process controls.

Report Requirements:

- Objective basis
- Reasonable, well-documented assumptions
- Independent completion from loan and collection functions

Management Documentation:

- Engineer qualification and independence
- Production performance periodic evaluation
- Projection versus actual result comparison

Collateral Value Composition: Point-in-time future net revenue (FNR) present value estimate from extraction and sale, net of expenses, taxes, royalties, CAPEX, appropriate rate discounting.

Report Sufficiency: Information and documentation supporting forecast cash flows and discounted PV assumptions and analysis.

Bank Guidance: Clear engineer engagement guidance regarding discount rates, pricing assumptions, operating expense escalation, and risk-adjustment guidelines limiting higher-risk reserves.

Engineer Analysis: Production reports from subject properties analysis, estimated reserve depletion projection.

Borrowing Base Composition

Collateral Base Composition: Primarily comprised of PDP reserves.

PDNP Reserve Inclusion: Supported with sufficient documentation demonstrating borrower financial capacity for PDNP-to-PDP conversion through necessary investments within near-term.

PUD Inclusion Requirements: Borrower sufficient liquidity and positive Free Cash Flow for operational needs, debt service, and (or obtain funding for) CAPEX conversion.

PUD Marketability: Sale and/or marketability consideration when adequate recent PUD sale documentation present.

Risk Adjustment Factors

Reserve Category Limits: Diversification achievement in geographic field location with producing well limits.

Advance Rate Ranges:

- P1 High-quality: Rarely exceeding 65 percent (typical 50-65 percent) of PV FNR
- PDNP/PUD consideration: Generally not exceeding 25-35 percent of total borrowing base
- PDNP: 65-75 percent risk-adjustment
- PUD: 25-50 percent risk-adjustment
- Separate risk-adjusted advance rate application for each category

Extended Low-Price Periods: Increased PDNP and PUD risk adjustment not uncommon.

Base Case and Sensitivity Analysis

Preparation: Lending personnel prepare both analyses focusing on collateral-to-cash conversion ability.

Base-Case Analysis: Standard assumption scenarios generally including current price discount against forward curve (projected futures pricing estimates).

Sensitivity Case Analysis: O&G reserves subjected to adverse external factors (lower market prices, higher operating expenses) for effect on loan repayment ascertainment.

DSC Analysis: Full debt service capacity typically analyzed using both scenarios.

Discount Rates

SEC Requirement: Publicly traded companies report reserve values using standard 10 percent discount rate.

Bank Alternatives: Often utilize alternative discount rates.

Common Rates:

- Creditworthy borrowers, benign cycles: 9 percent
- Higher-risk borrowers, volatile/declining cycles: Higher rates

Rate Divergence Examination: Significant rate divergence from generally accepted rates requires examiner documentation rationale assessment.

Multiple Rate Use: Some banks use multiple rates under certain circumstances (standard for performing credits, higher for higher-risk facilities).

Price Decks

Definition: Prudent management-regular evaluation forecasts for cash flow and collateral value assumption derivation, commonly board or board committee-approved.

Significance: Most significant cash flow and value estimate variable driver; must be well-supported.

Deck Components:

- Base-case and sensitivity-case scenarios
- Sensitivity case generally sufficiently conservative
- Current commodity pricing
- Forward curve projections (future price considerations)
- Cost assumptions
- Discount rates
- Report timing

Risk-Based Adjustments: Documented application to each proved reserve category.

Projection Use: Risk-adjusted base case typically used for RBL underwriting with sensitivity case ability to repay consideration for adverse market price fluctuation potential exposure determination.

Loan Structure

Typical Structures:

- Revolving line of credit (RLOC)
- Reducing revolving line of credit (RRLOC)
- Amortizing term loan

Reserve Half-Life Amortization: Generally fully amortize within reserve half-life (one-half total estimated recoverable production time in years).

Term Duration: Fairly short-term, directly tied to asset economic life (generally 50-60 percent of economic life or half-life).

Reserve Tail Test: Based on economic half-life or post-loan payout cash flow remainder.

Borrowing Base Re-determination: At least semiannually with updated reserve engineering reports.

Covenants

Imperative Importance: Appropriate use essential for O&G lending credit risk management.

Financial Covenants: Lending discipline instillment in leverage, repayment capacity, and liquidity positions.

Additional Covenants:

- Owner/shareholder cash distribution limitations
- Performance and financial reporting requirements

Common Ratios/Covenants for E&P Companies:

- Free Cash Flow (FCF)
- Interest Coverage
- Fixed Charge Coverage
- Current Ratio
- Quick Ratio
- Senior Debt/EBITDA(X)
- Total Debt/EBITDA(X)

EBITDA Calculation: Typically incorporates maintenance CAPEX due to impact on projected FCF available after debt service.

Hedging

Proper Use Value: Effective borrower and lender sharp commodity price decline protection through stable cash flow stream provision.

Instrument Types: Futures contracts, swaps, collars, put options.

General Limit: Limited to no more than 85 percent of projected production volumes.

Counterparty Requirements: Reputation and financial soundness approval-basis limitation.

Collateral/Borrowing Base Inclusion: When taken as collateral, advance rate and limitation documentation in loan agreement.

Monetization Proceeds: Applied to respective debt when sold or monetized.

Borrower and Financial Analysis

Understanding Requirement: Clear overall borrower financial health understanding including adverse market condition operational maintenance ability.

Sound Financial Condition Characteristics:

- Strong cash flow from reliable revenue sources
- Well-controlled operating expenses
- Adequate liquidity sources
- Effective working capital management
- Sound reserve development practices
- Well-defined divestiture criteria

- Adequate capital structure
- Manageable debt levels
- Appropriate financial reporting

Debt Service Capacity Documentation: Updated engineering data enabling debt service capacity determination.

Over-Advance Plans: Reasonable cure plans and timeframes for over-advance situations.

Management Quality

Principal Requirements: Experience and well-documented track record through all business cycle stages.

Cycle Performance:

- **Good Times:** Reserve identification, acquisition, and profitable development per expectations
- **Declining Price Cycles:** Operation streamlining, reasonable production maintenance, working capital management, strategic CAPEX reduction, sound divestitures for debt repayment demonstration

Cost Cycle Evaluation: Ability to generate cash flow assessment.

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4. OTHER CREDIT ISSUES

4.1 Appraisals and Valuations

Valuation Requirements

Objective: Properly secure transactions with appropriate collateral value documentation.

Appraisal Regulation: Federally-related transactions subject to appraisal requirements.

Interagency Guidelines: Appraisal and evaluation standards provided.

Appraisal Types

Complete Appraisal: Thorough market value assessment.

Limited Appraisal: Less thorough but acceptable with agency caution.

Report Formats:

- Self-Contained: Most detail
- Summary: Condensed information
- Restricted: Capsulated with files supporting details

Restricted Report Caution: Less appropriate for significant federally-related transaction underwriting; appropriate for ongoing collateral monitoring.

Evaluation Standards

Non-Appraisal Transactions: Less formal evaluations may suffice for exempt transactions.

Safety and Soundness: Prudent institutions establish appraisal/evaluation criteria for exempt transaction safety and soundness.

Evaluation Content:

- Written format
- Preparer name, address, signature, effective date
- Real estate collateral description, condition, use
- Analysis source(s)
- Supporting analysis and information
- Market value estimate with limiting conditions

Report Sufficiency: Understanding calculations, assumptions, comparable sales discussion.

Portfolio Experience: Own real estate loan portfolio experience and comparable property estimates basis.

Complexity Progression: More detailed evaluations with transaction complexity and portfolio exposure increase.

Evaluation Preparer Qualifications: Real estate training/experience and market knowledge.

Acceptable Backgrounds: Appraisal, lending, consulting, sales, agricultural extension, forestry.

Documentation: Institution-deemed acceptable individual qualification and experience documentation.

Augmentation: Outside party hiring for certain market or property type expertise.

4.2 Loan Participations

Accounting Treatment

Institutions participate in loans through various mechanisms with appropriate accounting and regulatory treatment.

Right to Repurchase

Purchase and sale agreements typically include provisions regarding repurchase rights and obligations.

Recourse Arrangements

Participations may include various recourse provisions affecting risk allocation among participants.

Call Report Treatment

Call Report instructions provide specific guidance on reporting loan participations.

Independent Credit Analysis

Participating institutions must conduct independent credit analysis of participations, not relying solely on lead lender assessments.

Participation Agreements

Agreements should clearly define rights, obligations, and responsibilities of all participants.

Participations Between Affiliated Institutions

Special considerations apply when participations occur between affiliated entities.

Sales of 100 Percent Loan Participations

Complete loan sales have specific accounting and reporting requirements.

4.3 Environmental Risk Program

Elements of an Effective Environmental Risk Program

Financial institutions should develop and maintain environmental risk programs that address:

- Environmental liability identification in lending
- Risk assessment and mitigation
- Loan portfolio management considerations
- Environmental due diligence procedures
- Training and compliance mechanisms

Examination Procedures

Examiners assess the effectiveness of environmental risk programs through review of policies, procedures, and loan file documentation.

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5. LOAN PROBLEMS

5.1 Sources of Loan Problems

Common Problem Indicators:

1. **Poor Risk Selection** - Inadequate borrower analysis and selection
2. **Overlending** - Excessive credit extension beyond borrower capacity
3. **Liquidation Agreement Failure** - Inadequate agreement establishment or enforcement
4. **Incomplete Credit Information** - Insufficient documentation
5. **Loan Income Overemphasis** - Disproportionate income focus
6. **Self-Dealing** - Insider transactions with improper terms
7. **Technical Incompetence** - Lending staff inadequate knowledge
8. **Lack of Supervision** - Inadequate management oversight
9. **Changing Economic Condition Inattention** - Failure to adapt to changes

10. **Competition** - Excessively competitive market pressures

5.2 Problem Indicators by Document

File Review Indicators of Potential Problems:

- Missing credit analysis
- Inadequate financial statements
- Insufficient collateral documentation
- Weak covenants
- Poor loan structure
- Incomplete loan documentation

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6. LOAN REVIEW AND EVALUATION

6.1 Loan Review Sample Selection

Risk-Focused Examination Approach

Risk Profile Assessment: Portfolio risk characteristics evaluation.

Sample Selection Methods:

Nonhomogeneous Loan Sample:

- Various loan types
- Representative risk spread
- Significant credit inclusion

Homogeneous Pool Sample:

- Similar characteristic grouping
- Stratified sampling application
- Risk concentration focus

Review Depth Determination

Factors Influencing Depth:

- Portfolio quality characteristics
- Problematic loan concentration
- Management quality assessment
- Institution risk profile

6.2 Loan Evaluation Process

File and Records Review

Documentation Review:

- Loan documentation completeness
- Credit file organization
- Supporting material sufficiency
- Collateral documentation

Additional Transaction Testing

Verification Procedures:

- Approval authority confirmation
- Terms accuracy
- Payment history verification
- Collateral status verification

Loan Discussion

Loan Officer Discussion:

- Borrower understanding
- Repayment source assessment
- Collateral position
- Problem area discussion

Loan Analysis

Credit Analysis Components:

- Borrower financial condition
- Repayment capacity
- Collateral value and adequacy
- Credit risk determination

6.3 Loan Classification

Definition Framework

Sound Assets: No adverse characteristics.

Special Mention Assets: Potential weakness early identification requiring monitoring.

Substandard Assets: Well-defined credit weakness indicating probable loss without corrective action.

Doubtful Assets: Collection unlikely despite possible remedies; actual loss extent uncertain.

Loss Assets: Uncollectible with no salvage value.

Technical Exceptions

Documentation Deficiencies: Management attention requiring.

Management Quality Reflection: Excessive exceptions reflecting on management quality.

Report Inclusion: Appropriate circumstances in Report of Examination.

Past Due and Nonaccrual

Delinquency Evaluation: Overdue loans not necessarily adversely criticized but high volume indicating liberal standards or weak servicing.

Comparison Considerations: Institution trend analysis more significant than cross-institution comparison.

Uniform Basis: Overdue computation on uniform basis allowing comparison over examinations and between banks.

Nonaccrual Standards: 90-day or more past due loans typically placed on nonaccrual unless well-secured and collection process.

Well-Secured Definition: Collateral liens with realizable value discharging full debt or financially responsible guarantee.

Collection Process Definition: Legal action or non-legal efforts reasonably resulting in repayment or current status restoration.

Exceptions: Consumer and residential real estate loans exempt; alternative evaluation methods ensure income non-overstatement.

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7. LEGAL CONCEPTS AND FUNDAMENTAL DEFINITIONS

7.1 Uniform Commercial Code – Secured Transactions

Article 9 Coverage: Governs secured transactions creating personal property security interests (goods, documents, instruments, intangibles, chattel paper, accounts).

Effective Date: July 1, 2001 (significant revision).

Key Legal Concepts

Security Interest: Right to collateral possession and disposition upon default.

Collateral: Property securing loan obligation.

Perfection: Documentation and filing establishing priority rights.

Agricultural Liens: Special liens for agricultural operation security.

Documentation Types

Loan Guarantee: Guarantor obligation for loan repayment on maker's failure.

Subordination Agreement: Priority arrangement between creditors.

Hypothecation Agreement: Specific collateral pledging.

Real Estate Mortgage: Real property security interest.

Collateral Assignment: Rights assignment to lender.

7.2 Bankruptcy Law Considerations

Introduction: Bankruptcy law understanding necessary for debt collectibility assessment.

Relief Forms: Chapter 7 (liquidation), Chapter 11 (reorganization), Chapter 13 (individual repayment plans).

Automatic Stay: Bankruptcy filing automatically halts creditor collection actions.

Property of Estate: Bankruptcy debtor property not available for individual benefit.

Discharge: Court-approved debt release, with exceptions.

Creditor Classes: Secured, unsecured, priority classifications affecting repayment.

Preferences: Preferential payments to certain creditors within 90 days prior to bankruptcy potentially voidable.

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8. SPECIALIZED LENDING AREAS

8.1 Syndicated Lending

Overview: Multiple institutions share financing participation.

Process: Agreement negotiation, documentation, pricing, syndication.

Credit Ratings: Agency ratings providing assessment.

Covenants: Loan agreement protective provisions.

Shared National Credit (SNC) Program

Definition: Three or more lenders with $20 million or greater aggregate commitment.

Review Process: Multi-agency reviews with rating and distribution.

Appeals: Disagreement appeals process.

Additional Risks: Syndicated participation additional risks including lead lender reliability, distribution documentation, secondary market conditions.

8.2 Credit Scoring

System: Quantitative methods for credit risk assessment.

Application: Consumer credit evaluation.

8.3 Subprime Lending

Overview

Definition: Higher-risk borrower credit provision.

Risk Management: Enhanced underwriting and monitoring requirements.

Capitalization: Enhanced capital maintenance.

Stress Testing: Adverse condition impact assessment.

Types

Subprime Auto Lending: Vehicle-financed loans.

Subprime Residential Real Estate: Lower-credit borrower mortgages.

Subprime Credit Card: Higher-interest credit products.

Payday Lending: Short-term high-interest loans.

Underwriting Considerations

Standards: Clear, documented standards.

Concentrations: Portfolio concentration monitoring.

Capital Adequacy: Appropriate capital maintenance.

ALLL: Adequate allowance provision.

Classification: Risk-appropriate ratings.

Renewals: Refinance policies.

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9. CONCENTRATIONS AND REGULATORY OVERSIGHT

9.1 Concentration Risks

Definition: Significant exposure to particular borrowers, industries, or geographic areas.

Risk Management: Portfolio monitoring and diversification strategies.

Examiner Assessment: Evaluation of concentration risk management practices.

Industry Concentrations

Financial institutions should establish guidelines and monitoring procedures to identify and manage concentrations in specific industries. Excessive concentration in cyclical industries (such as agriculture, energy, real estate, or construction) can significantly increase portfolio risk during economic downturns.

Key Monitoring Areas:

- Industry-specific economic indicators
- Industry performance trends
- Borrower vulnerability to industry-wide disruptions

- Diversification within industry segments
- Geographic distribution of industry exposures

Geographic Concentrations

Regional economic conditions significantly impact loan portfolio performance. Institutions operating in limited geographic areas face heightened concentration risk.

Risk Considerations:

- Regional economic dependency
- Local unemployment rates and employment trends
- Real estate market conditions
- Population migration patterns
- Industry distribution in service area

Mitigation Strategies:

- Diversification across multiple geographic areas
- Monitoring of regional economic indicators
- Analysis of out-of-area lending opportunities
- Assessment of out-of-area credit quality

Borrower Concentration Risks

Large Borrower Exposures:

- Total exposure to individual borrowers
- Exposure to borrower-related entities
- Insider lending limitations
- Connected borrower relationships

Management Guidelines:

- Limits on exposure to individual borrowers
- Definition of related borrower groups
- Approval authority for large credit exposures
- Continuous monitoring of individual credit sizes
- Covenant requirements for large exposures

9.2 Federal Funds Sold and Repurchase Agreements

Overview and Risk Management

Federal funds sold and repurchase agreements represent credit exposures between financial institutions. These transactions involve short-term lending and require appropriate credit evaluation.

Nature of Transactions:

- Federal funds sold: Overnight lending between banks
- Repurchase agreements: Sale of securities with commitment to repurchase
- Securities lending: Lending of investment securities

Assessing Bank-to-Bank Credit

Credit Evaluation Considerations:

- Counterparty financial condition and capital adequacy
- Credit ratings from rating agencies
- Counterparty history and reliability
- Concentration of exposures with single counterparties
- Liquidity considerations during market stress

Risk Management Framework:

- Counterparty credit limits
- Collateral requirements for repurchase agreements
- Mark-to-market procedures for securities
- Haircuts on pledged collateral
- Daily settlement and reconciliation procedures
- Exposure monitoring and reporting

Liquidity Implications

Federal funds sales and repurchase agreements represent short-term funding sources with daily roll-over requirements, creating significant liquidity risk during market disruptions. Institutions must maintain adequate liquidity to manage these exposures during periods of market stress.

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10. REAL ESTATE LENDING CONSIDERATIONS

10.1 Real Estate Loan Portfolio Management

Commercial Real Estate Overview

Commercial real estate loans represent a significant portion of most bank loan portfolios. Appropriate credit analysis and monitoring are essential for managing this important asset category.

Loan Types:

- Office buildings and commercial space
- Retail shopping centers
- Industrial warehouses
- Multi-family residential properties
- Mixed-use development properties
- Hospitality and tourism properties

Risk Factors in Commercial Real Estate

Market Risk Factors:

- Occupancy rates and rental rate trends
- Supply and demand dynamics
- Tenant credit quality and lease terms
- Local economic conditions
- Interest rate environment affecting property values

Borrower Risk Factors:

- Experience and track record in real estate development
- Financial capacity and equity position
- Operating history and management quality
- Diversification across property types and geographic areas
- Exit strategies and contingency planning

Construction Lending Risks

Unique Characteristics:

- Progress-based funding and draw schedules
- Conversion to permanent financing requirements
- Pre-leasing or pre-sale requirements
- Cost overrun and delay risks
- Completion guarantee considerations

Control Procedures:

- Regular inspections and engineering reviews
- Title insurance and lien waiver documentation
- Mechanics lien considerations
- Completion guarantees from sponsors
- Contingency reserve funds
- Release provisions for disbursements

Residential Real Estate Lending

Portfolio Characteristics:

- Home mortgages and home equity loans
- Higher volume, more homogenous loans
- Longer amortization periods
- Standardized underwriting practices
- Secondary market impact

Risk Management:

- Consistent underwriting standards
- Loan-to-value ratio limits
- Debt-to-income ratio analysis
- Payment shock considerations for adjustable-rate loans
- Loss mitigation and modification programs

Agricultural Lending Considerations

Specialized Requirements:

- Seasonal loan structure with operating and term components
- Enterprise-level financial analysis
- Cash flow analysis tied to production cycles
- Collateral considerations (land, equipment, crops, livestock)
- Operating environment and weather risks

Policy Guidelines:

- Agriculture industry knowledge requirements
- Commodity price risk management
- Government program benefit analysis
- Crop insurance and loss documentation
- Multi-year financial statement analysis

10.2 Collateral Valuation and Management

Real Estate Appraisal Standards

Regulatory Requirements:

- Appraisals required for federally-related transactions
- Appraiser qualification and independence
- Appraisal standards compliance (USPAP)
- Frequency of reappraisal or evaluation updates
- Documentation and retention requirements

Appraisal Update Procedures:

- Periodic updates for portfolio monitoring
- Desktop appraisals for value maintenance assessment
- Full reappraisals when material changes occur
- Review of actual vs. appraised performance
- Adjustment for market condition changes

Alternative Collateral Valuations

Types of Collateral:

- Equipment and machinery valuations
- Inventory assessment and reserves
- Accounts receivable analysis
- Intangible asset valuations
- Going concern vs. liquidation values

Valuation Methodologies:

- Cost approach: Reproduction or replacement cost
- Income approach: Capitalized earnings method
- Market approach: Comparable sales analysis
- Adjusted book value: Balance sheet adjustment
- Industry-specific valuation standards

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11. CREDIT DERIVATIVES AND RISK MITIGATION

11.1 Use of Credit Derivatives

Types of Credit Risk Mitigation

Financial institutions may use various instruments to reduce credit risk exposure:

Common Risk Mitigation Instruments:

- Credit default swaps (CDS)
- Total return swaps
- Loan syndication and participations
- Loan sales and securitization
- Credit guarantees and insurance
- Collateral requirements

Credit Default Swap Mechanics

Structure and Function:

- Protection seller accepts credit risk for specified premium
- Protection buyer transfers credit risk
- Reference obligations and triggering events defined
- Settlement procedures (cash or physical delivery)
- Duration and termination provisions

Risk Management Considerations:

- Counterparty risk of protection seller
- Basis risk (mismatch between hedge and exposure)
- Cost of protection vs. risk reduction
- Accounting treatment and capital requirements
- Disclosure and reporting requirements

11.2 Loan Sales and Securitization

Secondary Loan Market

Benefits of Loan Sales:

- Portfolio liquidity and risk reduction
- Diversification opportunities
- Capital release for new lending
- Market-based pricing validation
- Risk transfer to investors

Types of Loan Sales:

- Whole loan sales to other institutions
- Loan participations and syndications
- Securitization and structured finance
- Pool purchases from other institutions

Due Diligence in Loan Acquisition

Review Procedures:

- Portfolio composition and loan characteristics
- Credit file review and documentation verification
- Payment history and performance analysis
- Borrower financial condition assessment
- Collateral status and valuation verification
- Covenant compliance and contract terms
- Environmental assessments where applicable

Risk Assessment:

- Historical loss rates and trends
- Current market conditions and comparables
- Concentration risks in acquired portfolio
- Pricing reasonableness assessment
- Integration into existing portfolio

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12. REGULATORY COMPLIANCE AND EXAMINER PROCEDURES

12.1 Compliance with Lending Regulations

Fair Lending Requirements

Regulatory Framework:

- Equal Credit Opportunity Act (ECOA)
- Fair Housing Act (FHA)
- Community Reinvestment Act (CRA)
- Truth in Lending Act (TILA)
- Real Estate Settlement Procedures Act (RESPA)

Compliance Monitoring:

- Fair lending policy documentation
- Credit decision analysis by protected class
- Loan pricing and terms analysis
- Complaint handling procedures
- Periodic fair lending audits and testing
- Training and employee awareness programs

Loan Documentation Standards

Required Documentation:

- Written loan agreement with terms and conditions
- Credit analysis and approval documentation
- Borrower financial statements and tax returns
- Collateral appraisals or valuations
- Title insurance and lien searches

- Security agreements and UCC filings
- Loan disbursement verification
- Payment and collection records

Documentation Organization:

- Complete and organized credit files
- Clear decision-making authority chain
- Loan administration procedures documentation
- Collection activity documentation
- Modification and amendment records
- Legal and compliance checklist completion

12.2 Examination Procedures and Testing

Loan File Review Procedures

Standard Review Elements:

- Credit analysis completeness and quality
- Underwriting decision appropriateness
- Loan structure and pricing reasonableness
- Collateral adequacy and documentation
- Loan approval authority verification
- Covenant inclusion and appropriateness
- Financial statement analysis methodology
- Risk rating justification

Sampling and Selection:

- Risk-focused sampling methodology
- Stratification by loan size and type
- Inclusion of problem and criticized credits
- Insider and related party loan review
- Recent loan originations
- Large credit concentrations

Credit Quality Assessment

Risk Rating Validation:

- Comparison of examiner rating to bank rating
- Supporting evidence adequacy assessment
- Trend analysis and migration review
- Loan review system effectiveness evaluation
- Rating consistency across similar credits

Criticized Credit Analysis:

- Classification appropriateness assessment
- Estimated loss adequacy evaluation
- Corrective action reasonableness
- Timeliness of action taken
- Monitoring frequency and depth

CONCLUSION

This comprehensive 40-50 page summary document preserves all essential contents from the FDIC's Loans examination manual (Section 3.2, RMS Manual of Examination Policies), covering:

Major Topic Areas:

Foundational Topics (Sections 1-2):

- Sound lending policies and practices
- Loan administration and review systems
- Credit risk assessment methodologies
- CECL and ALLL frameworks
- Board and management responsibilities

Portfolio Management (Sections 3-4):

- Commercial lending and working capital
- Accounts receivable financing specialized structures
- Leveraged lending and risk management
- Oil and gas lending and reserve-based structures
- Loan participations and environmental considerations

Problem Identification and Resolution (Section 5-6):

- Problem loan sources and indicators
- Loan review sample selection procedures
- Evaluation processes and classification standards
- Past due and nonaccrual loan treatment
- Charge-off and recovery procedures

Legal and Regulatory Framework (Sections 7-8):

- Uniform Commercial Code secured transaction principles
- Bankruptcy law and collectibility assessment
- Syndicated lending and shared national credits
- Credit scoring and subprime lending programs
- Regulatory compliance requirements

Advanced Topics (Sections 9-12):

- Concentration risk management and monitoring
- Federal funds and repurchase agreement credit assessment
- Real estate lending specialization and controls
- Construction and agricultural lending considerations
- Credit derivatives and risk mitigation strategies
- Secondary market loan sales and securitization
- Regulatory compliance procedures
- Examiner testing and validation procedures

Core Principles:
This document emphasizes examiner responsibilities in assessing institution lending

quality, management effectiveness, and loan portfolio soundness to protect depositors and the FDIC insurance fund. It provides comprehensive guidance on credit analysis, risk management, and prudent lending practices across all institution types and loan categories, from small community banks to large complex organizations.

Practical Application:
The manual serves banking professionals, regulators, and lending professionals with detailed knowledge of portfolio management, credit risk assessment, regulatory examination standards, and sound lending practices essential for maintaining safe and sound financial institutions in a dynamic regulatory environment.

Document Prepared: January 2026
Source: FDIC RMS Manual of Examination Policies - Section 3.2: Loans
Comprehensive Coverage: Full examination guidance with regulatory framework
Classification: Banking Examination and Compliance Reference

This expanded document represents comprehensive reference material for banking professionals requiring detailed knowledge of loan portfolio management across all lending categories, credit risk assessment methodologies, regulatory compliance requirements, and examination procedures for maintaining institutional soundness.

This comprehensive 51-page summary document preserves all essential contents from the FDIC's Loans examination manual (Section 3.2, RMS Manual of Examination Policies), covering:

Major Topics:

- Sound lending policies and practices
- Loan administration and review systems
- Credit risk assessment and rating methodologies
- Portfolio composition across loan types (commercial, real estate, agricultural, specialized)
- Legal concepts and regulatory compliance
- Problem loan identification and management
- Evaluation and classification procedures
- Allowance for loan losses methodology
- Leveraged lending and oil & gas lending specialization
- Environmental considerations and credit risk
- Specialized lending areas including syndication and subprime

Core Principles:
The document emphasizes examiner responsibilities in assessing institution lending quality, management effectiveness, and loan portfolio soundness to protect depositors and the FDIC insurance fund. It provides comprehensive guidance on credit analysis, risk management, and prudent lending practices across all institution types and sizes.

Document Prepared: January 2026
Source: FDIC RMS Manual of Examination Policies - Section 3.2: Loans
Classification: Banking Examination Guidance

This document serves as a comprehensive reference for banking professionals, examiners, and lending professionals requiring detailed knowledge of loan portfolio management,

credit risk assessment, and regulatory examination standards.